

KiwiSaver Performance Survey December Quarter 2011

2011 will be remembered as a year of tremendous volatility, but despite natural disasters, political unrest, and market unpredictability, most KiwiSaver investors ended the year in positive territory.

Chris Douglas
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Morningstar has released its quarterly KiwiSaver Performance Survey, designed to help New Zealand investors assess the performance of their KiwiSaver superannuation options.

The accompanying tables show KiwiSaver fund returns for one, three, and four years to 31 December 2011. There were no fund additions this quarter.

Regular readers will observe some changes to this quarter's performance survey, as we start 2012 with a new look and feel. The first page of the survey now provides a snapshot and some key performance statistics for the default options and the KiwiSaver sector overall. We've also introduced a rotating column where each quarter we'll show an aspect of interest related to KiwiSaver. This quarter, we're highlighting the best three-month return of each option, so that investors can see how much upside volatility each fund has.

We hope you find this a more user-friendly performance overview, and as always, we welcome any feedback you may have.

Market Overview

The December 2011 quarter provided a welcome reprieve after dramatic falls from sharemarkets in the September quarter.

A very strong October resulted in growth assets largely outperforming income assets over the quarter, although only marginally.

Fixed interest continued to perform well in 2011, which was another banner year for defensive assets. The composite index of New Zealand government and corporate bonds posted a return of 3.33 percent for the three months to 31 December 2011, and finished the year with a very healthy 12.30 percent return. Global bonds (fully-hedged back to the \$NZ) also posted a solid 1.52 percent return in the fourth quarter, and was also up a respectable 8.15 percent over the past year. Investors should note, however, that it's unlikely that fixed income assets will be able to sustain such strong performance year-on-year.

New Zealand listed property also had a strong 2011, the NZX Property Index posting an 11.19 percent increase for the year, despite dipping marginally in the fourth quarter. Global listed property (on a fully-hedged basis), on the other hand, had a very

volatile 2011, down 1.32 percent for the year overall after rebounding strongly with a 7.20 percent return in the December quarter. (Global listed property fell 15.02 percent over the three months to 30 September 2011.)

Most growth assets also had a topsy-turvy ride in 2011. Despite a strong start to the year and mostly positive results in the December quarter, the selloff from July to September cost investors. The NZX50 Index was one of the better-performing markets in 2011, but still posted a small negative return of -1.04 percent for the year. And despite a strong finish in the December quarter, global sharemarkets were down -5.41 percent in aggregate in 2011.

KiwiSaver funds with heavy weightings in Australian shares will have struggled, as the market across the ditch was one of the worst performers in 2011, falling -10.40 percent in \$NZ terms.

Fund Manager Results

The risk trade was back 'on' in the fourth quarter of 2011, many of the funds which sold off aggressively in the September quarter racing back. This meant that a number of the single-sector KiwiSaver options were among the top performers over the three months to 31 December 2011, as were funds in the Multi-Sector Aggressive category.

Fidelity KiwiSaver, ASB KiwiSaver, and FC KiwiSaver Tracker were among the best-performing KiwiSaver providers during the December quarter. This was a reversal from the September 2011 quarter, when they were among the worst.

Global property and global share funds were the best performers among the single-sector KiwiSaver options, unsurprisingly given the returns from these asset classes. The best performer for the quarter, though, was **Fidelity KiwiSaver - Options Kiwi**, which was up 10.69 percent over these three months, after being last in the September quarter with a -23.79 percent loss.

Looking out over one, three, and four years is of course a better indicator of a fund manager's performance record. Conservative funds continue to be the best-performing options over these

timeframes. The best-performing multi-sector fund over the past four years has been **Aon Russell Lifepoints Conservative**, while the number two and three spots went to **OnePath Conservative** and **SIL Conservative**. The OnePath, SIL KiwiSaver, and Aon KiwiSaver funds deserve mention for consistency in returns across the various multi-sector categories over the past four years. **Brook Professional Growth** and **Fisher Funds Growth** also deserve mention as the only options to post positive returns in the Multi-Sector Aggressive category.

Of the single-sector options, the strongest one-year performances were produced by **SIL New Zealand Fixed Interest**, **SIL KiwiSaver Australasian Property**, and **SIL International Fixed Interest**. **Milford Active Growth** (formerly Milford Aggressive) was the best-performing single-sector fund over the past four years, and with a return of 8.12 percent per annum was the best-performing KiwiSaver option overall.

I Read the News Today, Oh Boy

The media headlines are becoming very repetitive. One day it's: "UK shares rose yesterday, as optimism that Greece would be able to strike a deal with private creditors, despite talks halting at the weekend, helped to push the market up". The next day it's: "US stocks fell yesterday, as investors grew jittery amid uncertainty surrounding Greek debt talks." Long-term investors should be careful about making risk profile or investment decisions on the basis of newspaper headlines. As always, try to ignore short-term noise. Because of this focus on short-term performance, we have removed the three-month return from this survey. Investors can still find one- and three-month returns on our website www.morningstar.co.nz.

Fees

Fees remain a murky issue in New Zealand. While we have attempted to put an estimated cost on each KiwiSaver scheme, from the March 2012 quarter we will be moving to publish a Total Expense Ratio for each KiwiSaver option. We have already collected this from the six default providers as well as Fisher Funds and Westpac, and believe that this is a much better

representation of the true cost for investors. We will highlight the fund managers which choose not to disclose this number.

Assets Under Management

KiwiSaver assets on the Morningstar database have grown from NZ\$954.10 million at 30 June 2008 to NZ\$10.26 billion at 31 December 2011, a phenomenal growth rate. OnePath and ASB remained the dominant players at 31 December 2011, with 45.80 percent of KiwiSaver assets between them. This represented a marginal increase on the previous quarter-end. The industry remains highly-concentrated: the eight largest KiwiSaver providers manage almost 95.0 percent of the assets on the Morningstar database.

About This Survey

This survey groups KiwiSaver options according to their mix of income and growth assets, or their 'asset allocation'. This is one of the most important decisions to make when saving for

retirement income. The term 'income assets' refers to cash and fixed interest securities which generally produce stable and reliable returns, but offer little opportunity for long-term capital growth. Returns from 'growth assets' such as property and shares will be erratic – as recent market volatility has demonstrated – but have over time shown greater capacity for increasing in value. The mixture of income and growth assets is the major determinant of potential return and volatility. Investors may notice differences between the returns published in this survey and those they see in other sources. There are several possible reasons for this. Firstly, the returns published here are all after fees, but before tax. Secondly, we take the associated tax credit into consideration when calculating and publishing these returns, while some fund managers base their published performance figures on month-end unit prices only. ■■

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Please note:

- Past performance is not a guide to future performance. This year's best performers can easily be next year's worst.
- Understanding your risk profile, and the mix of growth and income assets is critical.
- Fees are the one constant that will always eat away at your returns. Take a close look at the cost of your KiwiSaver Scheme.

Snapshot

		Assets	Total Returns % p.a.			Highest 3Mo Return	Est. Total Fee - To be replaced next quarter with TER	Member Fee	Growth Assets
		\$M	1-year	3-year	4-Year	Since inception %	%	\$/year	%
Default Options	AMP Default Fund	411.6	2.2	4.4	3.5	2.5	0.55	36.00	20.2
	ASB Scheme's Cnsrv (Default)	1162.3	4.8	5.6	4.8	3.8	0.43	30.00	19.7
	AXA Income Plus (Default)	535.0	4.0	7.0	4.3	5.3	0.53	36.72	20.2
	Mercer Conservative (Default)*	535.1	3.7	7.9	4.9	6.5	0.53	34.20	20.4
	OnePath Conservative (Default)	504.5	6.3	6.2	5.2	4.1	0.45	33.00	20.2
	TOWER Cash Enhanced (Default)	380.4	4.8	5.8	4.4	3.4	0.51	33.00	21.8
Peer Group Averages	Default Options	3528.9	4.3	6.2	4.5	4.3	0.50	33.60**	
	Conservative (Including Default Options)	4168.8	4.3	6.0	4.6	4.1	0.69	35.10**	
	Moderate	1358.7	3.6	7.0	3.5	6.4	0.83	35.10**	
	Balanced	1478.3	3.4	6.1	3.9	7.9	0.93	35.10**	
	Growth	1805.1	-0.4	7.3	0.1	9.9	0.94	34.20**	
	Aggressive	694.9	-4.8	7.5	-1.6	12.1	1.01	36.00**	
Quick Stats	KiwiSaver Total Market Size	\$m	10,268						
	Increase in Market Size last 3 months	\$m	705						
	Increase in Market Size last 12 months	\$m	2,870						
	Largest Providers	\$m	2,514	OnePath					
		\$m	2,188	ASB					
		\$m	1,178	AMP					
	Largest Product	\$m	1,162	ASB KiwiSaver Scheme's Cnsrv (Default)					
	Largest Category	\$m	4,169	Morningstar Conservative Category					
	Number of Providers		16						
	Number of Products		132						
	Highest 3-month Performance this Quarter	%	10.7	Fidelity KiwiSaver-Options Kiwi Fund					
	Lowest 3-Month Performance this Quarter	%	-1.5	SIL KiwiSaver-Australasian Share					
	Highest 12-Month Performance this Quarter	%	12.1	SIL KiwiSaver-New Zealand Fixed Interest					
	Lowest 12-Month Performance this Quarter	%	-20.8	Grosvenor KiwiSaver Trs-Tasm Sm Coms Shr					

Estimated KiwiSaver Market Asset Allocation %	
Cash	25.2
NZ Bonds	16.3
International Bonds	18.7
NZ Unlisted Property	1.2
NZ Listed Property:	1.6
International Listed Property	2.0
NZ Shares	9.9
Australian Shares	3.8
International Shares	19.9
Other	1.5
Proportion in Income Assets:	60.2
Proportion in Growth Assets:	39.8

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Multi Sector Options

		Assets	Total Returns % p.a				Highest 3Mo Return		Est. Total Fee	Member Fee	Growth Assets	
		\$M	1-year	%	3-year	4-Year	Since inception %		%	\$/year	%	
Conservative	AMP Default Fund	411.6	2.2	(14)	4.4	(12)	3.5	(12)	2.5	0.55	36.00	20.2
	ANZ Conservative	70.7	5.6	(4)	6.0	(7)	5.0	(5)	4.2	0.92	24.00	19.7
	Aon Russell Lifepoints Cnsrv	34.1	5.0	(5)	10.8	(1)	5.9	(1)	7.3	0.83	50.00	Und.
	ASB Scheme's Cnsrv (Default)	1162.3	4.8	(6)	5.6	(9)	4.8	(7)	3.8	0.43	30.00	19.7
	AXA Income Plus (Default)	535.0	4.0	(10)	7.0	(3)	4.3	(10)	5.3	0.53	36.72	20.2
	FC Scheme's Tracker Cnsrv	61.9	4.8	(8)	5.6	(10)	4.7	(8)	3.8	0.43	36.00	19.7
	Fidelity Capital Guarant Kiwi	26.3	2.9	(12)	4.1	(13)	--		2.9	0.84	36.00	10.7
	Fidelity Conservative Kiwi Fd	32.5	2.3	(13)	5.2	(11)	4.2	(11)	4.1	0.94	36.00	35.1
	Fisher Funds Conservative Fund	124.4	4.6	(9)	--	--	--		2.7	0.95	36.00	10.1
	Mercer Conservative (Default)*	535.1	3.7	(11)	7.9	(2)	4.9	(6)	6.5	0.53	34.20	20.4
	National Bank Conservative	103.5	5.6	(3)	6.1	(6)	5.1	(4)	4.2	0.92	24.00	19.7
	OnePath Conservative (Default)	504.5	6.3	(1)	6.2	(4)	5.2	(2)	4.1	0.45	33.00	20.2
	SIL Conservative	184.1	5.6	(2)	6.1	(5)	5.2	(3)	4.3	0.87	24.00	19.7
	Smartshares Conservative	2.5	1.8	(15)	3.7	(14)	2.2	(13)	2.9	0.85%/\$40	0.00	20.0
TOWER Cash Enhanced (Default)	380.4	4.8	(7)	5.8	(8)	4.4	(9)	3.4	0.51	33.00	21.8	
Average			4.3		6.0		4.6		4.1	0.69	35.10**	19.8
Morningstar Multi-Sector Conservative Index			4.9		5.4		5.0					18.3
Moderate	AMP LS Conservative Fund	58.0	4.4	(7)	5.2	(17)	5.1	(1)	4.4	0.88	36.00	23.8
	AMP LS Moderate Fund	103.1	2.3	(15)	5.2	(16)	2.9	(15)	3.9	0.98	36.00	36.6
	ANZ Conservative Balanced	67.5	4.5	(6)	6.8	(8)	3.9	(8)	6.1	0.92	24.00	34.7
	Aon Russell Lifepoints 2015	2.8	3.1	(12)	11.0	(1)	4.2	(3)	9.0	0.87	50.00	Und.
	Aon Russell Lifepoints Mod	6.0	1.9	(16)	10.9	(2)	3.4	(11)	9.5	0.91	50.00	Und.
	ASB Scheme's Moderate	277.0	3.2	(10)	6.7	(9)	3.2	(13)	7.0	0.63	30.00	39.6
	AXA Conservative	22.9	4.1	(9)	7.3	(4)	--		5.8	1.04	36.72	25.2
	FC Scheme's Active Cnsrv	5.2	3.0	(13)	6.4	(13)	3.3	(12)	6.3	0.83	36.00	Und.
	FC Scheme's Tracker Moderat	14.2	3.2	(11)	6.7	(10)	3.0	(14)	7.1	0.63	36.00	39.5
	Grosvenor Conservative Fund	22.5	7.6	(1)	6.6	(11)	4.8	(2)	4.4	0.98	39.96	24.6
	Mercer Super Trust Conserv*	1.7	2.8	(14)	7.9	(3)	3.6	(10)	7.3	0.88	34.20	30.8
	National Bank Conservative Bal	88.4	4.6	(4)	6.8	(7)	3.9	(7)	6.1	0.92	24.00	34.7
	OnePath Conservative Balanced	2.7	5.2	(2)	6.5	(12)	3.8	(9)	5.6	0.50	33.00	34.8
	SIL Conservative Balanced	59.4	4.5	(5)	6.9	(6)	4.0	(4)	6.2	0.87	24.00	34.7
	Smartshares Balanced	5.5	-2.1	(17)	5.4	(15)	-1.8	(16)	9.9	0.85%/\$40	0.00	60.0
	TOWER Conservative	41.4	4.2	(8)	7.3	(5)	4.0	(6)	5.8	0.88	33.00	32.8
	Westpac Conservative Fund	580.5	4.7	(3)	5.9	(14)	4.0	(5)	4.4	0.62	31.08	27.6
Average			3.6		7.0		3.5		6.4	0.83	35.10**	34.2
Morningstar Multi-Sector Moderate Index			3.4		6.1		3.9					34.2

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Multi Sector Options (continued)

		Assets	Total Returns % p.a						Highest 3Mo Return	Est. Total Fee	Member Fee	Growth Assets
		\$M	1-year	%	3-year	4-Year		Since inception %	%	\$/year	%	
Balanced	AMP LS Balanced Fund	152.4	-0.3	(15)	5.6	(16)	0.6	(16)	5.5	1.03	36.00	59.5
	AMP LS Moderate Balanced Fund	145.6	0.4	(12)	5.3	(18)	1.3	(13)	4.9	1.03	36.00	49.4
	AMP TOWER Balanced Fund	9.0	-0.9	(18)	6.4	(13)	1.4	(11)	7.7	1.24	36.00	57.8
	ANZ Balanced	106.5	3.2	(2)	7.3	(7)	2.6	(6)	7.8	0.97	24.00	49.6
	Aon OnePath Balanced	7.2	1.1	(9)	10.6	(3)	3.8	(1)	11.0	0.98	50.00	Und.
	Aon Russell Lifepoints 2025	4.5	0.0	(14)	10.9	(1)	1.4	(12)	11.3	0.95	50.00	Und.
	Aon Russell Lifepoints Bal	29.4	-1.4	(21)	10.9	(2)	0.6	(17)	12.2	0.98	50.00	Und.
	ASB Scheme's Balanced	206.4	1.1	(8)	7.1	(9)	1.0	(14)	9.1	0.68	30.00	59.6
	AXA Balanced	96.1	-1.1	(20)	8.1	(4)	0.4	(18)	9.9	1.07	36.72	60.3
	Brook Professional Balanced Fd	1.3	-0.4	(16)	3.7	(21)	2.7	(4)	5.9	0.99	30.00	56.0
	FC Scheme's Active Balanced	18.8	-1.0	(19)	6.1	(14)	0.0	(19)	9.0	0.88	36.00	Und.
	FC Scheme's Tracker Balanced	16.9	1.1	(10)	7.1	(10)	0.9	(15)	9.2	0.68	36.00	59.5
	Fidelity Balanced Kiwi Fund	70.6	-2.1	(22)	4.0	(19)	2.7	(3)	5.8	1.00	36.00	59.6
	Fidelity Ethical Kiwi	6.5	0.1	(13)	5.6	(17)	--		6.1	1.17	36.00	59.4
	Forsyth Barr Balanced Port	4.4	-0.6	(17)	3.7	(20)	--		6.3	0.65	30.00	49.4
	Grosvenor Balanced Fund	64.7	2.2	(5)	5.6	(15)	2.2	(7)	7.2	1.08	39.96	49.4
	Mercer Super Trust Moderate*	15.3	1.2	(7)	8.1	(5)	1.8	(9)	9.8	0.68	34.20	50.8
	Milford Balanced	3.3	1.9	(6)	--		--		4.1	1.05	36.00	53.4
	National Bank Balanced	159.3	3.1	(4)	7.3	(8)	2.6	(5)	7.8	0.97	24.00	49.6
	OnePath Balanced	6.2	3.7	(1)	6.6	(12)	2.1	(8)	7.1	0.55	33.00	50.2
	SIL Balanced	151.9	3.1	(3)	7.4	(6)	2.8	(2)	7.9	0.92	24.00	49.6
	TOWER Balanced	201.8	0.4	(11)	6.7	(11)	1.6	(10)	7.0	0.98	33.00	56.7
Average			0.7		6.9		1.7		7.9	0.93	36.00**	54.4
Morningstar Multi-Sector Balanced Index			1.2		5.3		1.1	--				52.9

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Multi Sector Options (continued)

		Assets	Total Returns % p.a.						Highest 3Mo Return	Est. Total Fee	Member Fee	Growth Assets
		\$M	1-year		3-year		4-Year		Since inception %	%	\$/year	%
Growth	AMP LS Growth Fund	125.1	-3.5	(25)	5.4	(24)	-2.4	(25)	7.9	1.08	36.00	75.0
	AMP OnePath Balanced Plus Fund	30.4	1.9	(3)	8.4	(5)	2.0	(2)	8.7	1.08	36.00	61.6
	AMP Tyndall Balanced Fund	6.8	-0.1	(16)	6.6	(21)	0.0	(14)	8.3	1.08	36.00	64.3
	ANZ Balanced Growth	73.4	1.7	(6)	7.7	(12)	1.1	(6)	9.6	1.02	24.00	64.6
	ANZ Growth	154.8	0.2	(13)	8.1	(8)	-0.4	(16)	11.3	1.07	24.00	79.0
	Aon Russell Lifepoints 2035	4.1	-2.5	(22)	10.7	(1)	-0.8	(18)	13.8	1.02	50.00	Und.
	Aon Russell Lifepoints Growth	7.9	-3.3	(24)	10.6	(2)	-1.4	(22)	14.5	1.04	50.00	Und.
	Aon Tyndall Balanced	2.1	-0.2	(17)	6.8	(18)	1.3	(5)	8.1	1.05	50.00	Und.
	ASB Scheme's Growth	190.3	-1.3	(19)	7.1	(16)	-1.3	(20)	11.0	0.73	30.00	79.7
	FC Scheme's Active Growth	17.5	-4.0	(26)	5.7	(23)	-2.1	(24)	10.8	0.93	36.00	Und.
	FC Scheme's Tracker Growth	13.5	-1.4	(20)	7.1	(15)	-1.5	(23)	11.1	0.73	36.00	79.5
	Fidelity Growth Kiwi Fund	31.6	-4.5	(27)	3.6	(25)	0.6	(10)	8.8	1.07	36.00	74.0
	Forsyth Barr Growth Portfolio	3.9	-3.2	(23)	3.3	(26)	--		7.6	0.65	30.00	67.1
	Grosvenor Balanced Growth	17.2	-2.4	(21)	--		--		6.4	1.13	39.96	72.1
	Mercer Balanced*	27.7	0.4	(10)	8.9	(3)	0.6	(9)	11.5	0.75	34.20	63.4
	Mercer Super Trust Active Bal*	38.2	0.3	(12)	8.6	(4)	0.5	(11)	11.2	0.90	34.20	61.3
	Mercer Super Trust Growth*	2.9	-0.8	(18)	8.3	(7)	-0.9	(19)	12.4	0.98	34.20	72.5
	National Bank Balanced Growth	130.1	1.7	(5)	7.8	(11)	1.1	(7)	9.6	1.02	24.00	64.6
	National Bank Growth	250.7	0.2	(14)	8.1	(9)	-0.5	(17)	11.3	1.07	24.00	79.0
	OnePath Balanced Growth	7.5	2.3	(2)	6.7	(19)	0.4	(12)	8.5	0.60	33.00	65.0
	OnePath Growth	7.3	0.9	(8)	6.7	(20)	-1.3	(21)	10.0	0.65	33.00	79.5
	SIL Balanced Growth	138.7	1.8	(4)	7.9	(10)	1.3	(4)	9.8	0.97	24.00	64.6
	SIL Growth Fund	97.3	0.3	(11)	8.4	(6)	-0.2	(15)	11.5	1.02	24.00	79.0
	Staples Rodway Balanced*	9.6	2.7	(1)	7.7	(13)	0.3	(13)	9.5	1.08	39.96	59.7
Staples Rodway Growth*	5.7	0.0	(15)	7.3	(14)	2.2	(1)	8.7	1.23	39.96	67.7	
Westpac Balanced Fund	254.1	1.6	(7)	6.5	(22)	1.9	(3)	6.9	0.72	31.08	64.0	
Westpac Growth Fund	156.6	0.9	(9)	6.9	(17)	0.7	(8)	8.3	0.77	31.08	85.0	
Average			-0.4		7.3		0.1	9.9	0.94	34.20**	70.5	
Morningstar Multi-Sector Growth Index			-0.4		5.3		-0.4	--				66.3

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Multi Sector Options (continued)

		Assets	Total Returns % p.a			Highest 3Mo Return	Est. Total Fee	Member Fee	Growth Assets
		\$M	1-year	3-year	4-Year	Since inception %	%	\$/year	%
Aggressive	AMP LS Aggressive Fund	101.9	-5.5 (9)	5.3 (9)	-4.1 (10)	9.8	1.13	36.00	87.9
	Aon Russell Lifepoints 2045	4.0	-4.8 (7)	10.5 (2)	-3.1 (8)	16.4	1.08	50.00	Und.
	AXA Growth	71.7	-5.3 (8)	7.6 (5)	-2.7 (5)	12.3	1.03	36.72	85.3
	Brook Professional Growth Fund	4.6	-2.1 (1)	4.9 (10)	3.0 (1)	8.6	0.99	30.00	75.0
	Fidelity Aggressive Kiwi Fund	11.4	-7.1 (12)	6.6 (7)	0.0 (3)	11.3	1.14	36.00	99.9
	Fisher Funds Growth Fund	352.3	-8.7 (13)	14.3 (1)	1.8 (2)	21.0	1.05	36.00	68.6
	Grosvenor Geared Growth Fund	1.9	-7.0 (11)	--	--	7.9	1.18	39.96	97.3
	Grosvenor High Growth Fund	46.9	-7.0 (10)	2.9 (11)	-4.0 (9)	12.8	1.18	39.96	98.9
	Mercer High Growth*	19.5	-2.7 (3)	8.6 (3)	-2.7 (6)	14.8	0.85	34.20	90.1
	Mercer Super Trust High Growth*	5.2	-2.8 (4)	8.1 (4)	-2.9 (7)	14.6	1.03	34.20	88.3
	TOWER Growth	58.5	-2.3 (2)	7.5 (6)	-1.5 (4)	10.1	1.08	33.00	78.3
	Westpac Capital Protect Plan 1	9.2	-3.6 (6)	5.9 (8)	--	9.8	0.72	31.08	99.7
	Westpac Capital Protect Plan 2	7.9	-3.6 (5)	--	--	8.0	0.72	31.08	99.7
Average			-4.8	7.5	-1.6	12.1	1.01	36.00**	89.1
Morningstar Multi-Sector Aggressive Index			-3.6	3.7	-2.8	--			88.8

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Single Sector Options

		Assets	Total Returns % p.a.						Highest 3Mo Return	Est. Total Fee	Member Fee	Growth Assets
		\$M	1-year		3-year	4-Year		Since inception %	%	\$/year	%	
Cash	AMP Cash Fund	34.1	3.0	(10)	3.3	(5)	4.6	(5)	2.2	0.73	36.00	0.0
	ANZ Cash	35.5	3.4	(5)	2.8	(13)	--		1.8	0.42	24.00	0.0
	Aon OnePath Cash	2.6	2.8	(12)	3.0	(11)	4.3	(8)	2.3	0.69	50.00	Und.
	Aon Tyndall Cash	1.2	3.1	(9)	3.5	(4)	4.7	(4)	2.5	0.70	50.00	Und.
	ASB Scheme's NZ Bank Deposit	190.6	2.6	(15)	2.7	(14)	4.1	(10)	2.3	0.38	30.00	0.0
	AXA Cash	18.6	2.6	(14)	3.1	(7)	4.0	(12)	2.1	0.83	36.72	0.0
	FC Scheme's NZ Cash	8.7	2.6	(16)	2.7	(15)	4.1	(11)	2.2	0.38	36.00	0.0
	Grosvenor Enhanced Income Fund	13.1	3.6	(1)	3.5	(3)	5.1	(2)	2.8	0.73	39.96	0.0
	Mercer Cash*	10.1	3.6	(2)	4.0	(1)	5.1	(1)	2.3	0.35	34.20	0.0
	Mercer Super Trust Cash*	1.7	3.4	(6)	3.9	(2)	5.0	(3)	2.3	0.50	34.20	0.0
	National Bank Cash	57.5	3.4	(4)	2.8	(12)	--		1.8	0.42	24.00	0.0
	OnePath Cash Fund	1.1	3.5	(3)	3.0	(9)	4.4	(7)	2.6	0.40	33.00	0.0
	SIL Cash Fund	16.3	3.3	(7)	2.6	(16)	4.0	(13)	2.5	0.52	24.00	0.0
	Staples Rodway Conservative*	12.7	3.2	(8)	3.0	(8)	4.3	(9)	2.3	0.83	39.96	0.0
	TOWER Preservation	16.8	3.0	(11)	3.2	(6)	4.4	(6)	2.2	0.51	33.00	0.0
	Westpac Cash Fund	137.5	2.7	(13)	3.0	(10)	3.7	(14)	2.1	0.37	31.08	0.0
Miscellaneous	Fidelity Options Kiwi Fund	47.2	-3.3		13.6		7.7		16.0	1.07	36.00	Und.
Intl Assets												
(%)												
Fixed Income	Mercer Super Trust Fixed Intr*	0.9	6.5	(3)	10.0	(1)	8.0	(1)	7.3	0.83	34.20	0.0
	SIL International Fixed Int	1.6	7.5	(2)	5.2	(3)	7.7	(2)	7.4	0.77	24.00	0.0
	SIL New Zealand Fixed Interest	4.6	12.1	(1)	7.7	(2)	7.4	(3)	3.6	0.77	24.00	0.0
Property	Mercer Super Trust Real Assets*	0.6	3.6	(2)	12.5	(2)	-3.0	(2)	27.2	1.08	34.20	97.3
	SIL Australasian Property	5.4	9.0	(1)	8.9	(3)	-1.2	(1)	18.2	1.02	24.00	96.8
	SIL International Property	3.7	-0.2	(3)	15.5	(1)	-3.7	(3)	30.8	1.02	24.00	95.2
International Equity	FC Scheme's Active High Growth	1.6	-8.6	(7)	2.8	(5)	--		10.8	1.03	36.00	Und.
	FC Scheme's Global Sustain	3.0	-8.6	(6)	5.3	(3)	--		9.4	1.53	36.00	99.5
	Grosvenor International Share	2.8	-6.1	(4)	--		--		9.1	1.23	39.96	97.0
	Mercer Super Trust Global*	1.1	-5.9	(3)	7.1	(1)	-5.9	(3)	19.3	1.08	34.20	96.2
	SIL International Share	13.6	-4.8	(1)	3.3	(4)	-3.4	(1)	10.4	1.02	24.00	98.9
	SIL Sustainable Growth Fund	1.0	-5.6	(2)	1.2	(6)	--		11.7	1.22	24.00	96.4
	TOWER Equity	19.0	-8.1	(5)	6.2	(2)	-5.5	(2)	12.8	1.13	33.00	95.7

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Single Sector Options (continued)

		Assets	Total Returns % p.a					Highest 3Mo Return	Est. Total Fee	Member Fee	Australian Assets
		\$M	1-year	3-year	4-Year			Since inception %	%	\$/year	%
Australasian Equity	Aon Milford	30.0	3.4	(1)	--	--		8.0	1.05	50.00	18.4
	Grosvenor Socially Responsible	5.2	-7.5	(7)	--	--		7.4	1.08	39.96	36.1
	Grosvenor Trs-Tasm Sm Coms Shr	2.9	-20.8	(8)	--	--		--	1.08	39.96	66.6
	Mercer Super Trust Shares*	0.9	-4.5	(5)	7.4	(3)	-4.9	(4)	1.08	34.20	7.0
	Mercer Super Trust TransTasman*	0.7	-1.3	(4)	7.2	(4)	-3.3	(3)	1.08	34.20	24.7
	Milford Active Growth	35.6	3.4	(1)	10.2	(1)	8.1	(1)	1.05	36.00	18.4
	SIL Australasian Share	9.2	2.6	(3)	7.8	(2)	-2.8	(2)	1.02	24.00	13.6
	Smartshares Growth	13.7	-5.3	(6)	6.3	(5)	-6.0	(5)	0.85%/\$40	0.00	0

Market Share Analysis

		AUM, Dec 2011				AUM, Dec 2010				AUM, Dec 2009				AUM, Dec 2008		
		\$M	%	Rank	Rank Change	\$M	%	Rank	Rank Change	\$M	%	Rank	Rank Change	\$M	%	Rank
By Provider	AMP	1178.1	11.5	(3)		897.2	12.1	(3)		595.6	13.0	(3)		266.0	13.7	(3)
	Aon	135.8	1.3	(11)		104.9	1.4	(11)	▼	70.1	1.5	(10)		28.1	1.4	(10)
	ASB	2188.0	21.3	(2)		1527.4	20.6	(2)		932.7	20.4	(2)		409.4	21.1	(2)
	AXA	744.4	7.2	(5)		560.4	7.6	(5)		372.4	8.1	(5)		168.7	8.7	(5)
	Brook	5.9	0.1	(16)		4.6	0.1	(16)	▼	3.4	0.1	(14)		1.3	0.1	(14)
	Fidelity	226.1	2.2	(9)		174.3	2.4	(9)		85.3	1.9	(9)		29.5	1.5	(9)
	Fisher	476.7	4.6	(8)		203.0	2.7	(8)		116.6	2.5	(8)		45.0	2.3	(8)
	Forsyth Barr	8.3	0.1	(15)		5.5	0.1	(15)		--	--			--	--	
	Grosvenor	177.2	1.7	(10)		127.1	1.7	(10)	▲	58.9	1.3	(11)		22.4	1.2	(11)
	Mercer	661.8	6.4	(7)		486.3	6.6	(7)		332.9	7.3	(7)		143.3	7.4	(7)
	Milford	38.9	0.4	(12)	▲	18.1	0.2	(14)		--	--			--	--	
	OnePath	2513.7	24.5	(1)		1771.9	23.9	(1)		1045.9	22.9	(1)		423.1	21.8	(1)
	Smartshares	21.7	0.2	(14)	▼	18.3	0.2	(13)		12.7	0.3	(13)		5.6	0.3	(13)
	Staples Rodway	28.0	0.3	(13)	▼	20.9	0.3	(12)		13.6	0.3	(12)		6.1	0.3	(12)
	Tower	717.9	7.0	(6)		541.1	7.3	(6)		358.8	7.8	(6)		165.0	8.5	(6)
	Westpac	1145.8	11.2	(4)		739.0	10.0	(4)		406.1	8.9	(4)		196.4	10.1	(4)
Closed Schemes						198.7	2.7			168.2	3.7			31.2	1.6	
Total		10268.3				7398.6				4573.2				1941.0		